

RBI should think about front loading its rate cuts

Data released by the government on Tuesday **showed** that inflation in India remains well under control. **Retail inflation**, as measured by the **consumer price index**, **stood** at 3.34 per cent in March. This is the second **straight** month that inflation has remained below the RBI's target. With this latest print, it has averaged 3.73 per cent in the last quarter of 2024-25 — **considerably** lower than the central bank's February **forecast** of 4.4 per cent. This only **underlines** the **space** for further **monetary easing**.

The **decline** in **headline inflation** **can**, in large part, be traced to food items. The consumer food price index **edged** lower, falling to 2.69 per cent in March from 3.75 per cent in February. It stood at 8.52 per cent in March last year. The **decline** in March **has** been **driven** by items such as vegetables, eggs, meat and fish. The near-term **outlook** for food inflation also **looks** **benign**. As per the IMD, India will experience above-normal monsoon rainfall this season. **The south-west monsoon**, which has been estimated at 105 per cent of **the long-period average**, **bodes well** for food production and prices. In his comments after the last MPC meeting, the RBI Governor had also noted that "the outlook for food inflation has turned decisively positive".

On the non-food side as well, the outlook is benign. **Brent crude oil** is currently trading at under \$65 a barrel with worries over global demand **weighing** heavily. This suggests that both food and fuel inflation are likely to be under control. Further, **core inflation** (excluding food and fuel), which is currently **hovering** around 4 per cent, **is** also likely to remain **subdued**. Some analysts expect a **surge** in Chinese exports to **keep** prices **under check**.

While inflation may remain under control, there is **considerable** uncertainty on the growth **front**. The trade **Wars** **unleashed** by US President Donald Trump **are** likely to have an impact on global growth. This will affect exports in the near term. Investment activity may also become **hostage** to uncertainty as firms may opt to wait to see how the tariff wars **play out** and how China responds. In its April meeting, the monetary policy committee voted to cut the **benchmark repo rate** by 25 **basis points** to 6 per cent. The committee had begun to cut rates in the February policy. The inflation **projections** released **alongside** the committee meeting **show** that the central bank expects inflation at 4 per cent in 2025-26. In his comments after the last meeting, the RBI Governor had said that "there is now a greater confidence of a **durable alignment** of headline inflation with the target of 4 per cent over a 12-month **horizon**". All this indicates the **room** for deeper cuts. In this environment, the MPC could **perhaps** consider front loading its rate cuts.

[Practice Exercise]

- **Room** (noun) – Scope, leeway, freedom, opportunity गुंजाइश
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

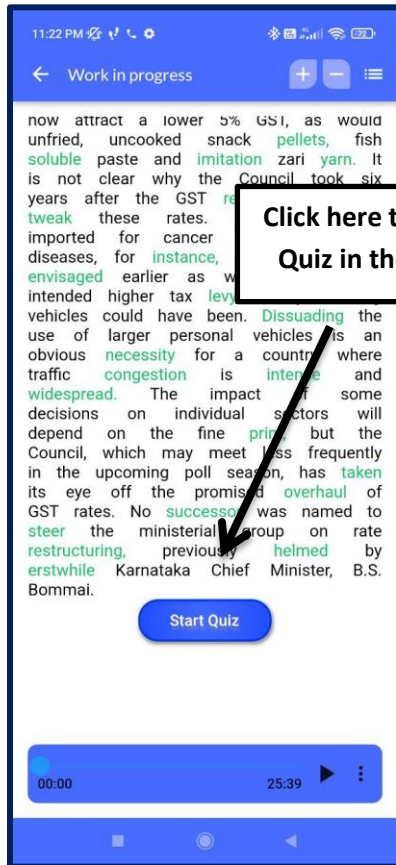
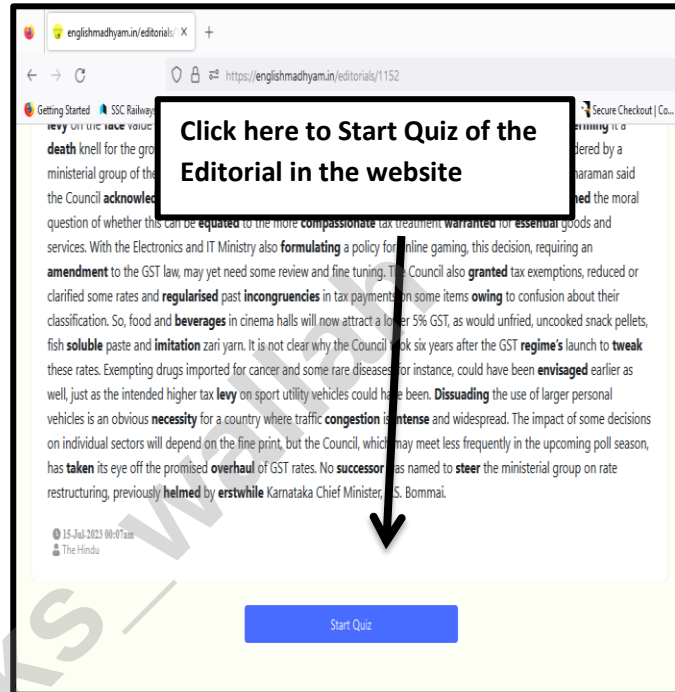
1. **Front loading** (noun) – prioritizing larger, more significant rate cuts early on in the process, rather than a more gradual approach
2. **Retail inflation** (noun) – measures the rate at which the prices of goods and services purchased by consumers rise over time
खुदरा महंगाई
3. **Consumer price index** (noun) – It refers to an increase in the price level of a selected basket of goods and services over a select period of time उपभोक्ता मूल्य सूचकांक
4. **Straight** (adjective) – consecutive, successive, uninterrupted, continuous, ongoing लगातार
5. **Considerably** (adverb) – significantly, greatly, markedly, notably, substantially
काफी हद तक
6. **Forecast** (noun) – prediction, projection, estimation, outlook, prognosis पूर्वानुमान
7. **Underline** (verb) – emphasise, highlight, stress, point out, accentuate जोर देना
8. **Space** (noun) – scope, room, margin, leeway, opportunity गुंजाइश
9. **Monetary easing** (noun) – a central bank's actions to stimulate economic growth by increasing the money supply and reducing interest rates
10. **Headline inflation** (noun) – the overall rate of inflation in an economy, including price increases for all goods and services as measured by the Consumer Price Index (CPI)
11. **Edge (lower)** (verb) – decrease slowly, lower slightly, reduce gradually, decline mildly, inch down धीरे-धीरे गिरना
12. **Drive** (verb) – cause, lead, influence, stimulate, propel प्रेरित करना
13. **Outlook** (noun) – forecast, expectation, view, scenario, perspective परिदृश्य
14. **Benign** (adjective) – favourable, mild, harmless, positive, supportive अनुकूल
15. **The long-period average** (noun) – It refers to the average of a value (like rainfall) over a long period, often 30 years or more.
16. **Bode well** (phrase) – indicate good outcome, signal success, augur positively, foretell favourably, suggest positive result
शुभ संकेत देना
17. **Brent crude oil** (noun) – The benchmark used for the light oil market in Europe, Africa, and the Middle East, originating from oil fields in the North Sea between the Shetland Islands and Norway
18. **Weigh** (verb) – influence, impact, press upon, bear on, affect प्रभाव डालना

19. **Core inflation** (noun) – the rate of increase in the price of goods and services, excluding volatile items like food and energy
20. **Hover** (verb) – remain, stay, linger, fluctuate around, oscillate मंडराना
21. **Subdued** (adjective) – low, controlled, mild, soft, restrained नियंत्रण में
22. **Surge** (noun) – rise, jump, spike, upswing, escalation तेजी
23. **Keep under check** (phrase) – control, regulate, contain, restrain, monitor नियंत्रण में रखना
24. **Considerable** (adverb) – significantly, appreciably, extensively, amply, meaningfully पर्याप्त मात्रा में
25. **Front** (noun) – aspect, area, sector, dimension, side क्षेत्र
26. **Unleash** (verb) – release, trigger, initiate, set off, provoke शुरू करना
27. **Hostage** (noun) – prisoner, captive, constraint, limitation, pawn बंधक / बाधक
28. **Play out** (phrasal verb) – unfold, happen, occur, develop, take place घटित होना
29. **Benchmark repo rate** (noun) – the interest rate at which the Reserve Bank of India (RBI) lends money to commercial banks.
30. **Basis point** (noun) – 100 basis point = 1%
31. **Projection** (noun) – estimate, forecast, outlook, prediction, expectation अनुमान
32. **Alongside** (adverb) – together with, concurrently, simultaneously, as well as साथ ही
33. **Durable** (adverb) – long-lasting, stable, consistent, sustained, steady टिकाऊ
34. **Alignment** (noun) – synchronisation, agreement, matching, harmony, convergence मेल
35. **Horizon** (noun) – timeframe, period, term, span, duration समय सीमा
36. **Perhaps** (adverb) – maybe, possibly, conceivably, likely, probably शायद

Summary of the Editorial

1. **Controlled Inflation:** India's retail inflation stood at 3.34% in March, remaining below the RBI's 4% target for the second consecutive month.
2. **Quarterly Average:** Inflation averaged 3.73% in the last quarter of 2024–25, lower than RBI's February forecast of 4.4%.
3. **Room for Rate Cuts:** The inflation trend provides space for further monetary easing by the RBI.
4. **Food Inflation Decline:** Food inflation dropped to 2.69% in March, significantly down from 8.52% in March last year.
5. **Key Drivers:** Items like vegetables, eggs, meat, and fish were responsible for the drop in food prices.
6. **Positive Outlook:** Food inflation is expected to remain low, supported by above-normal monsoon forecasts by IMD.
7. **Good Monsoon Forecast:** The south-west monsoon is estimated at 105% of the long-period average, aiding agricultural production.
8. **RBI's View:** The RBI Governor has expressed optimism, stating that the outlook for food inflation is decisively positive.
9. **Non-Food Factors:** Non-food inflation is also subdued; Brent crude oil prices remain low due to weak global demand.
10. **Core Inflation:** Core inflation (excluding food and fuel) hovers around 4%, expected to stay contained due to global supply factors.
11. **Chinese Exports Impact:** A possible surge in Chinese exports could help suppress inflation further by increasing global supply.
12. **Growth Uncertainty:** Despite low inflation, growth remains uncertain due to global trade tensions.
13. **Trade War Effects:** The US-China tariff war may hamper global growth and negatively impact India's exports.
14. **Investment Hesitancy:** Businesses may delay investment decisions amid global economic uncertainties.
15. **Policy Suggestion:** Given stable inflation and weak growth outlook, the RBI should consider front loading rate cuts to support economic activity.

Practice Exercise: SSC Pattern Based

[Click here to download App](#)[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam